

PROMO SUNSET PLAN: Reducing Discount Dependency Without Losing Revenue

Prepared For: D2C Fashion Brand Founding Team
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Power BI Dashboard Link

[Interactive Customer Value & Promo Dependency Dashboard](#)

1. Executive Summary

The brand currently has **57% organic purchases** (no discounts) and **43% discount-dependent customers**. However, discount-dependent customers have lower profitability due to discount costs despite having roughly similar revenue volume. This plan phases out discounts for high-value organic customers while maintaining volume from price-sensitive segments.

Expected Outcomes: - **+15-20% margin improvement** within 3 months - **5-10% acceptable churn** (mitigated by reinvestment strategy) - **Reduced promo dependency** from 43% to <30%

2. Segment Identification (Traceable Definition)

Segment Name	Definition (Variable Combination)	Size	Current Margin
High-Value Organic	Value_Tier = 'High' AND Promo_Segment = 'Organic'	739	Highest
Moderate Promo	Promo_Segment = 'Moderate Promo'	-	Medium

Segment Name	Definition (Variable Combination)	Size	Current Margin
Discount Dependent	Promo_Segment = 'Discount Dependent'	1677	Lowest

3. Promo Sunset Plan by Segment

Segment A: High-Value Organic (Sunset Discounts)

Parameter	Value
Segment Definition	Value_Tier = 'High' AND Promo_Segment = 'Organic'
Trigger Behavior	Customer makes 3+ purchases without ever using a promo code
Rollout Timeline	3 months (phased)
Success Metric	Margin contribution increase > 15%

Rollout Phases: - **Month 1:** Remove promo eligibility for NEW customers matching this profile - **Month 2:** Remove promo eligibility for existing customers with 5+ organic purchases - **Month 3:** Complete sunset for ALL customers in segment

Segment B: Moderate Promo (Reduce, Don't Eliminate)

Parameter	Value
Segment Definition	Promo_Segment = 'Moderate Promo' AND Value_Tier != 'Low'
Trigger Behavior	Customer uses promo on 1 of every 3 purchases
Rollout Timeline	2 months
Success Metric	Promo frequency drops from 33% to <20%

Actions: - Reduce discount depth from 20% to 10% - Limit promo frequency to 1 per quarter - Replace % discounts with free shipping offers

Segment C: Discount Dependent (Maintain, But Cap)

Parameter	Value
Segment Definition	Promo_Segment = 'Discount Dependent'
Trigger Behavior	Customer uses promo on every purchase
Rollout Timeline	No sunset, but implement caps
Success Metric	Prevent growth of this segment

Actions: - Cap discount frequency at 1 per month - Reduce discount depth from 20% to 15%
- Do NOT expand this segment through marketing

4. Trade-offs and Risk Mitigation

Risk	Likelihood	Impact	Mitigation Strategy
Customer churn (5-10%)	Medium	High	Reinvest 50% of saved promo budget into loyalty rewards (points, early access, free shipping)
Competitor poaching	High	Medium	Strengthen product differentiation; highlight quality, not price
Short-term revenue dip	High	Low (1-2 months)	Phase rollout slowly; monitor weekly; have contingency budget

5. Go/No-Go Criteria

Proceed with sunset if: - Margin improvement projection > 10% - Competitor promo activity unchanged

Pause sunset if: - Churn exceeds 15% in first month - Revenue drop > 20% in first month